GENERAL RULES

26. Additional Delivery Charges and Adjustments

Except as specified within each section of this General Rule, the following charges are applicable to all Customers served under this Rate Schedule:

(a) Monthly Adjustment Clause ("MAC") and Adjustment Factor – MAC;
(b) Revenue Decoupling Mechanism ("RDM") Adjustment;
(c) Billing and Payment Processing ("BPP") Charge;
(d) System Benefits Charge ("SBC");
(e) Clean Energy Standard Delivery Surcharge ("CESD");
(f) Dynamic Load Management ("DLM") Surcharge;
(g) Delivery Revenue Surcharge;
(h) Value of Distributed Energy Resources ("VDER") Cost Recovery;
(i) Tax Sur-credit;
(j) EV Make-Ready Surcharge; and
(k) Arrears Management Program Recovery Surcharge

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause

Rates for electric service include a MAC applicable to all Customers served under this Rate Schedule, except as follows. The MAC does not apply to SC 11.

The MAC is estimated on a monthly basis and shown on the Statement of Monthly Adjustment Clause filed with the Public Service Commission each month apart from this Rate Schedule no less than three days before the Statement is to become effective. MAC amounts will be shown per kilowatthour for all rate classes. A copy of the Statement of Monthly Adjustment Clause in effect will be available to the public on the Company's website.

This General Rule incorporates, by reference, the definitions in General Rule 25.

26.1.1 MAC Components

The components of the MAC include:

(1) prior to May 1, 2008, the Cost Increment/Decrement of all Purchased Power Contracts; and, commencing May 1, 2008, the Cost Increment/Decrement of Purchased Power Contracts that were entered into prior to May 1, 2000. The Cost Increment/Decrement of Purchased Power Contracts reflects the difference between the actual monthly costs of these purchases, including fixed and variable costs, and the imputed revenue associated with pricing these purchases at the market price(s) included in the MSC;

(2) the Cost Increment/Decrement of Public Policy Contracts. The Cost Increment/Decrement of Public Policy Contracts reflects the difference between the actual monthly costs of these purchases, including fixed and variable costs, and the imputed revenue associated with pricing these purchases at the market price(s) included in the MSC;

(3) the Cost Increment/Decrement of Company-owned Generation Assets. The Cost Increment/Decrement of Company-owned Generation Assets reflects the difference between the actual costs of the Company-owned Generation Assets, including fixed, variable, and fuel costs, and oil storage and handling costs, and the imputed revenues associated with pricing these assets at the market price(s) included in the MSC;

(4) the difference between amortized revenues from sales of the Company's system Transmission Congestion Contracts ("TCCs") and the amount reflected in setting applicable rates;

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(5) charges for and/or revenues from the Company's system TCCs that are not sold;

(6) any non-commodity related charges or credits, not otherwise recovered through the MSC or Adjustment Factors – MSC, related to FERC approved or ordered NYISO or PJM rebills or recalculations of charges paid by NYISO or PJM customers;

(7) carrying charges related to the Rainey to Corona Project, the Gowanus to Greenwood Project, and the Goethals to Fox Hills Project, collectively, the Reliable Clean City ("RCC") projects, less costs allocated to the PASNY Rate Schedule, as authorized by the Commission's April 15, 2021 Order in Case 19-E-0065;

(8) certain NYISO-related charges and credits, including all rebills issued to the Company prior to May 1, 2008, non-commodity-related rebills issued to the Company beginning May 1, 2008, and NYISO Schedule 1 charges that are not covered under the MSC. Miscellaneous charges/credits to be flowed through the MAC, such as rebills, will be limited to five percent of the total MSC/MAC costs for that month. Residual amounts will be deferred with interest and flowed through the MAC in subsequent month(s) subject to the same five percent limitation;

(9) Customers' share of the cost of the savings passed on to eligible Customers in accordance with Section 3, Chapter 459, 1982 N.Y. Laws;

(10) credit Customers related to any federal funding received under the Infrastructure Investment and Jobs Act, as authorized by the Commission in Case 22-E-0064 and less amounts allocated for collection under the PASNY Rate Schedule;

(11) amounts related to storm costs, as authorized by the Commission in Case 22-E-0064 and less amounts allocated for collection under the PASNY Rate Schedule;

(12) certain NYISO Transmission Owners Charges such as Congestion Balancing Settlement, Rochester Station 80 Capacitor Bank and Ramapo Phase Angle Regulator and any other transmission-related charges;

(13) net revenues from sales to other utilities, LSEs and others;

(14) certain other transmission-related charges and credits;

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(15) the difference between costs used in the calculation of the Adjustment Factors – MSC and total actual costs incurred, including all costs incurred and benefits received prior to May 1, 2008 from financial hedging instruments associated with transactions intended to reduce price volatility to customers (e.g., transaction costs, such as option premiums, costs of providing credit support and margin requirements, and professional fees, and gains and losses associated with such transactions made in the commodities exchanges and with other counterparties);

(16) foregone delivery service revenues associated with the provision of service under Rider M (voluntary service only), and the Company's Direct Load Control Program to the extent such revenues are not recovered through a revenue decoupling mechanism.

(17) foregone electric revenues resulting from decreased electric requirements associated with steam air conditioning installations by Customers under Special Provision E of Service Classification Nos. 2 and 3 of Con Edison's Schedule for Steam Service, P.S.C. No. 4 - Steam to the extent such revenues are not recovered through a revenue decoupling mechanism;

(18) foregone steam revenues associated with steam rate discounts for steam air conditioning installations by Customers under Special Provision E of Service Classification Nos. 2 and 3 of Con Edison's Schedule for Steam Service, P.S.C. No. 4 - Steam;

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(19) all costs on an as-incurred basis, including but not limited to payments to Customers where applicable and capital costs for enabling technologies, associated with the implementation of programs conducted under Rider M, the Distribution Load Relief Program ("DLRP") under Rider T, the Company's Direct Load Control ("DLC") Program, the steam rate discount under Special Provision E of Service Classification Nos. 2 and 3 of Con Edison's Schedule for Steam Service, P.S.C. No. 4 - Steam, and the Company's marketing program for demand response programs; provided, however, that DLRP cost recovery will exclude any "lost" Summer payments made pursuant to the Commission's order issued April 8, 2009, in Cases 08-E-1463 and 08-E-0176, and DLRP cost recovery through the MAC beginning with costs incurred for the 2011 summer program will be equal to the total program costs less the program costs allocated for collection under the PASNY Rate Schedule pursuant to the Commission's Order issued January 20, 2011, in Case 10-E-0530. DLRP and DLC Program costs incurred on and after May 1, 2018 will be recovered through the Dynamic Load Management Surcharge;

(20) all costs related to deferred late payment fees and other fees originally associated with Customer non-payment ("Unbilled Fees") for 2020 as authorized by the Commission in Case 19-E-0065. The Company will recover these Unbilled Fees commencing December 1, 2021, through December 31, 2022. The Company will reconcile the approved fees for 2021 and 2022 without any threshold requirement and collect/pass back any variance. The Company will begin its recovery or pass back of the approved fees for 2021 on January 1, 2023, through December 31, 2023. The Company will reconcile the actual annual COVID Late Payment Fee revenues with Commission approved levels included in base rates in 2023 and future years and collect/pass back any variance over a subsequent twelve-month period as authorized by the Commission in Case 22-E-0064. The amount to be recovered or passed back will be determined by subtracting amounts allocated for collection under the PASNY Rate Schedule and dividing the resulting amount to be recovered or passed back over the collection period by the number of months in the collection period;

(21) the difference between the actual COVID Uncollectible Expense and Commission approved levels in rates as authorized by the Commission in Case 22-E-0064. The amounts to be recovered or passed back will be reduced by the amounts allocated for collection under the PASNY Rate Schedule;

(22) the Company's costs on an as-incurred basis, including marketing costs and costs for program evaluation, staffing, program development and market research, for both targeted and other demand management programs that the Company implements or helps to implement as well as any demand management program-related incentives, other than costs addressed in MAC components 19 and 33;

(23) the difference between the actual annual property taxes and Commission approved levels in base rates, as authorized by the Commission in Case 22-E-0064 and less amounts allocated to the PASNY Rate Schedule;

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(24) any net revenue shortfalls between delivery rates under this Rate Schedule and NYPA delivery rates resulting from laws that would permit NYPA to serve non-governmental Customers in the Company's service area;

(25) any difference between the level of NEIL distributions reflected in rates and the actual NEIL distributions received on an annual basis;

(26) any variance between the wholesale Transmission Service Charge revenues reflected in base rates and the actual wholesale Transmission Charge revenues received, other than from firm transmission contracts, on an annual basis net of any NYISO-related adjustments;

(27) any variance between the wheeling revenues for firm Transmission contracts reflected in rates and the actual wheeling revenues for firm Transmission contracts received on an annual basis;

(28) the electric department's allocated share of common costs for the 59th and 74th Street Stations;

(29) costs, as incurred, related to the Regional Greenhouse Gas Initiative ("RGGI"), to the extent such costs are not recoverable through the market prices reflected in the Market Supply Charge, with respect to Company-owned generating facilities;

(30) revenues received from the sale of RGGI allowances;

(31) costs incurred pursuant to Section 185 of the Clean Air Act;

(32) a credit equal to the value of any adjustment made to the Adjustment Factor – MSC I for capacity associated with the Direct Load Control Program that is pledged into the NYISO Special Case Resources program and a credit for payments received from NYSERDA or any other source for Direct Load Control installations;

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(33) all program costs, as incurred, to be collected over a reasonable period of time, for Commission approved Energy Efficiency and Demand Response Programs to the extent not recovered through another mechanism, less costs allocated for collection under the PASNY Rate Schedule;

(34) costs related to the Low Income Distributed Energy Resources Make Ready Program, as authorized by the Commission in Case 22-E-0064 and less costs allocated for collection under the PASNY Rate Schedule;

(35) costs associated with capital investments placed into plant-in-service related to the Idlewild Project, until such time the costs are included in base rates, less amounts allocated for collection under the PASNY Rate Schedule. Specifically, the Company will recover the return on investment, depreciation expense, and operation and maintenance expense associated with the capital investments;

(36) [RESERVED FOR FUTURE USE];

(37) [RESERVED FOR FUTURE USE];

(38) all PJM OATT rates and charges associated with the 1,000 MW firm transmission service contracted with PJM that are applicable to the period April 1, 2013 through December 31, 2013, net of the amount of PSEG wheeling charges reflected in rates during that period. The rates and charges recovered through the MAC will be equal to the total rates and charges less the PJM OATT rates and charges collected under the PASNY Rate Schedule. Collections will commence March 2014 and will be made over a 10-month period;

(39) all PJM OATT rates and charges/credits associated with the 1,000 MW firm transmission service contracted with PJM that are applicable to the period commencing January 1, 2014, less the PJM OATT rates and charges/credits collected under the PASNY Rate Schedule. Commencing March 2014, rates and charges/credits will be collected/refunded monthly as incurred and will include an adjustment to recover over a three-month period rates and charges/credits applicable to the period January and February 2014;

(40) the commodity-related component of customer credits provided under the SC 1 Rate III price guarantee for plug-in electric vehicles and customer credits provided under the price guarantees of Rider Z, Rider AA, and Rider AB;

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(41) costs, as incurred, related to the purchase of emissions allowances for Company-owned generating facilities pursuant to the Environmental Protection Agency's final rule on interstate transport of fine particulate matter and ozone, dated August 8, 2011, as the same may be modified from time to time, to the extent such costs are not recoverable through the market prices reflected in the Market Supply Charge;

(42) revenues received from the sale of emissions allowances pursuant to the Environmental Protection Agency's final rule on interstate transport of fine particulate matter and ozone, dated August 8, 2011, as the same may be modified from time to time;

(43) costs related to the Brooklyn/Queens Demand Management Program, less costs allocated to the PASNY Rate Schedule, other than costs recovered in base rates;

(44) Standby Performance Credits and Standby Reliability Credits provided to Customers served under this Rate Schedule pursuant to General Rule 20.5.3 and General Rule 20.5.4;

(45) costs related to the Targeted Demand Management program and Reforming the Energy Vision Demonstration Projects, less costs allocated to the PASNY Rate Schedule, other than costs recovered in base rates;

(46) any positive incentives earned under Earnings Adjustment Mechanisms, any other incentives associated with Company incentive mechanisms, and revenue adjustments associated with Company performance metrics and mechanisms, less amounts allocated for collection under the PASNY Rate Schedule as applicable, and as authorized by the PSC;

(47) [RESERVED FOR FUTURE USE]

(48) costs for implementation of Non-Wires Alternatives ("NWA") (adjusted for the carrying charge of any displaced capital project reflected in the Average Electric Plant in Service Balance that would otherwise be deferred for customer benefit), plus NWA incentives earned by the Company, less amounts allocated for collection under the PASNY Rate Schedule;

(49) bill credits provided to export-only Customers pursuant to Special Provision I of SC 11, less amounts allocated for collection under the PASNY Rate Schedule;

(50) costs related to the Continuity Funding Mechanism for the Company's Clean Heat Program, amortized over a 10-year period;

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.1 MAC Components - Continued

(51) all costs associated with the Competitive Direct Procurement of Scheduling and Dispatch Rights from Qualified Energy Storage Systems as described in the Company's Implementation Plan filed in Case 18-E-0130, including implementation costs, incremental costs and carrying charges associated with the procurement of scheduling and dispatch rights of at least 300 MW from qualified energy storage systems, amortized over the life of the contract with each developer or fifteen years for costs not associated with a specific developer contract, less any amounts received from NYSERDA or allocated for collection under the PASNY Rate Schedule. Net Annual Wholesale Market Revenues will be credited to Customers. To the extent that Net Annual Wholesale Market Revenues exceed the contract costs on an annual basis, the excess will be split on a 70/30 basis between Customers and shareholders, respectively. Net Annual Wholesale Market Revenues will be the annual wholesale market revenues (avoided wholesale electric market costs or direct revenue from the NYISO) from the energy storage asset, that are greater than the Energy Storage Marketing Participation Costs on an annual basis. Energy Storage Marketing Participation Costs include but are not limited to the following costs if paid by the Company: i) energy charging costs;
ii) NYISO participation fees; and iii) any incremental costs related to bidding energy storage resources into the NYISO markets;

(52) Credits applied to electric Customer bills under the Phase 1 and Phase 2 Electric and Gas Bill Relief Program as described in General Rule 10.9 of this Rate Schedule, in exceedance of funds provided by New York State (when applicable) and shareholders, plus carrying charges, less costs allocated to the PASNY Rate Schedule, as authorized by the Commission in its orders issued June 16,2022, and January 19, 2023, in Cases 14-M-0565 et al. Commencing June 1, 2024, Phase 2 Electric and Gas Bill Relief Program costs will be recovered through the Arrears Management Program Recovery Surcharge as described in General Rule 26.11;

(53) net revenue associated with the sale to the NYISO wholesale market of the output of Company-owned Energy Storage Systems, less any costs incurred to do so (e.g. any battery charging costs, or administrative costs), less amounts allocated for collection under the PASNY Rate Schedule;

(54) carrying charges related to the Brooklyn Clean Energy Hub after it has been placed into service and until such costs are reflected in base rates, less amounts allocated for collection under the PASNY Rate Schedule. The carrying charge is capped based on a project cost of $810 million, subject to review for recovery of additional costs as specified in the Commission's April20, 2023 Order in Case 20-E-0197; and

(55) other appropriate costs as may be approved by the Public Service Commission.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.2 Adjustment Factor - MAC

The Adjustment Factor – MAC includes the following components. Each component, applied on a cents per kilowatthour basis to the nearest 0.0001 cent, is determined by dividing the amount to be collected or credited by the sum of the estimated sales in kWhr to all Customers subject to the MAC over the period for which the adjustment is to be applied:

(a) MAC Reconciliation

The Company will reconcile the estimated MAC amount recovered in rates on a calendar month basis to actual MAC costs on a calendar month basis. Rates under all Service Classifications shall be subject each month to an adjustment reflecting the MAC reconciliation amount.

The amounts recovered or credited through the MAC Reconciliation component of the Adjustment Factor - MAC will be reconciled to actual amounts to be recovered. Any differences will be passed through the Adjustment Factor - MAC in a subsequent month.

(b) Uncollectible-bill Expense

The Adjustment Factor – MAC will contain a separate charge to reflect the Uncollectible-bill Expense associated with MAC and Adjustment Factor – MAC charges. The Uncollectible-bill Expense will be determined each month by multiplying an estimate of costs recoverable through the MAC and the MAC Reconciliation component of the Adjustment Factor – MAC charges by an Uncollectible Bill Factor of 0.0060. Any difference between the monthly Uncollectible-bill Expense as determined above and the Uncollectible-bill Expense determined by multiplying the Uncollectible Bill Factor by the billed MAC charges and the billed MAC Reconciliation component of the Adjustment Factor – MAC charges will be collected from/credited to Customers through the Uncollectible-bill Expense determined in a subsequent month. The Company will true-up its Uncollectible Bill Expense for the MAC and the MAC Reconciliation component of the Adjustment-Factor – MAC charges using the Uncollectible Bill Factor approved in Case 19-E-0065 for charges determined through December 31, 2022, the Uncollectible Bill Factor approved in Case 22-E-0064 for charges determined thereafter.

At least once every 12 months, the Company will reconcile the Uncollectible-bill Expense required to be collected with the amounts billed, and any under-recovery or over-recovery will be passed through the Uncollectible-bill Expense, with interest, in a subsequent month. Interest will be calculated at the Other Customer Capital Rate.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

26.1.2 Adjustment Factor – MAC - Continued

(c) Transition Adjustment

The Adjustment Factor – MAC will contain a separate per-kilowatthour charge or credit to reflect the Transition Adjustment amount (including any Transition Adjustment Reconciliation Amounts and prior period deferrals, plus interest), pursuant to General Rule 28.

26.1.3 Statement of Adjustment Factor – MAC

Commencing with the eighth billing cycle of each month, the MAC Reconciliation component of the Adjustment Factor – MAC per kWhr, as determined above, shall be effective during the succeeding billing month after the month for which the Adjustment Factor – MAC shall have been determined, and shall continue in effect until changed. The Uncollectible–bill Expense and the Transition Adjustment components of the Adjustment Factor – MAC, as determined above, shall be effective commencing with the eighth billing cycle of the month for which the components have been determined and shall continue in effect until changed. Bills issued monthly or bi-monthly are subject to the Adjustment Factor – MAC that is in effect on the bill's "to" date.

Not less than 3 business days prior to any change in the rate adjustment per kWhr resulting from this provision for MAC adjustment, a Statement of Adjustment Factor – MAC (Statement) will be duly filed with the Public Service Commission, apart from this Rate Schedule, showing the rate adjustment per kWhr for each component of the Adjustment Factor – MAC. The date at which and the period for which the MAC Reconciliation component was determined will also be shown. The rate adjustment per kWhr for Customers billed bi-monthly is equal to the average of the rate adjustment per kWhr in effect on the bill's "to" date for monthly-billed Customers and the rate adjustment in effect the preceding billing month for monthly-billed Customers, rounded to four decimal places.

The Company will show the per-kilowatthour amount for each component of the Adjustment Factor – MAC on its website.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

[RESERVED FOR FUTURE USE]

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

[RESERVED FOR FUTURE USE]

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.1 Monthly Adjustment Clause - Continued

[RESERVED FOR FUTURE USE]

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.2 Revenue Decoupling Mechanism - Adjustment

Pure Base Revenue (as defined in General Rule 2) is subject to reconciliation through an RDM Adjustment. The RDM is applicable to Pure Base Revenue received from: Customers in SCs 1, 2, 5, 6, 8, 9, 12, and 13; and Customers billed under Standby Service rates (including Rate Choice Customers as described in General Rule 20). The RDM is not applicable to revenues from the following: (a) Customers billed under SC 11 rates and contract or negotiated rates; (b) Customers served under Rider J and Rider Y; and (c) load served under Special Provision G or H of SC 9. A separate RDM Adjustment is in effect for service under the PASNY Rate Schedule.

(1) Mechanism

The Company will reconcile, for each SC, the difference between actual Pure Base Revenue and Allowed Pure Base Revenue, as follows:

(a) Every month, the Company will reconcile the difference between actual Pure Base Revenue and Allowed Pure Base Revenue under each SC. For purposes of General Rule 26.2, Pure Base Revenue shall also include the revenue from the base rate energy efficiency and Low Income program components of the CBC Charge described in Rider R of this Rate Schedule.

Except as provided below, every six months, the cumulative difference plus the adjustment for Special Provisions G and H of SC 9, Low Income Program costs, costs related to the Emergency Summer Cooling Credit, and Electric Vehicle Managed Charging Program costs as explained in sections (3), (4), (5), and (6) respectively, below, will be charged or credited to Customers in each SC, with interest (calculated at the Other Customer Capital Rate), over the six-month period that commences two months later:

The difference for the six-month period ending September 2013 will be collected over the five months commencing November 2013; the difference for the five-month period ending February 2014 will be collected over the four months commencing April 2014; and the difference for the four-month period ending June 2014 will be collected over the six months commencing August 2014. Thereafter, the difference for the six-month period ending December will be collected/refunded over the six months commencing February, and the difference for the six- month period ending June will be collected/refunded over the six months commencing August.

(b) If the cumulative difference between actual Pure Base Revenue and Allowed Pure Base Revenue equals or exceeds $10 million under the combined SCs plus the PASNY Rate Schedule before the end of six months, the Company may initiate collection or refund of RDM amounts prior to the onset of a six-month RDM collection/refund period or adjust the amounts to be collected or refunded for the remaining months of an RDM collection/refund period. For differences related to periods commencing on or after April 2010, such collection or refund of RDM amounts will commence on the first calendar day of the month in which the change becomes effective.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.2 Revenue Decoupling Mechanism Adjustment - Continued

(1) Mechanism - Continued

(b) The amount to be charged or credited to Customers in each SC will be determined by dividing the amount to be charged or credited to Customers in that SC by estimated total kilowatthour deliveries to Customers in that SC over the collection/refund period. If the per-kilowatthour adjustment to any SC would be less than a debit or credit of 0.0001 cents per kWhr, the amount will be deferred with interest (calculated at the Other Customer Capital Rate) and collected or refunded, as applicable, in a subsequent period, or as determined by the Public Service Commission if no RDM is in effect.

(c) Following each RDM collection/refund period, any difference between amounts required to be charged or credited to Customers in each SC and amounts actually charged or credited will be charged or credited to Customers in that SC, with interest, over a subsequent RDM collection/refund period, or as determined by the Public Service Commission if no RDM is in effect. RDM targets will be adjusted, as applicable, to exclude credits applied to Customer accounts pursuant to General Rule 12.5.1.

(d) Commencing March 1, 2014, SC 5 and SC 9 will be considered a single SC, and SC 2 and SC 6 will be considered a single SC, for RDM purposes.

(2) Statement

The RDM Adjustment unit amount to be collected from or credited to Customers per kilowatthour will be shown for each SC on the Statement of Revenue Decoupling Mechanism Adjustment. The Company will file such Statement with the Public Service Commission no less than three days prior to the start of the period that the RDM Adjustment is to be in effect (and no less than three days prior to any change in the RDM Adjustment as set forth herein).

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.2 Revenue Decoupling Mechanism Adjustment - Continued

(3) Allowed Pure Base Revenue

Allowed Pure Base Revenue* (in $000s), by SC, is as follows:

SC	Jan. - Dec. 2022	Jan. – Jul 2023	Aug – Dec. 2023	Jan. – Dec. 2024	Jan. – Dec. 2025**
1	$2,347,535	$1,310,010	$1,182,176	$2,875,147	$3,116,197
2 and 6	$510,989	$296,554	$236,016	$610,997	$670,547
5 and 9	$2,320,689	$1,269,641	$1,073,041	$2,558,787	$2,754,512
8 and 13***	$171,813	$91,634	$88,300	$202,773	$220,175
12	$27,163	$16,721	$10,508	$29,235	$31,884

* Allowed Pure Base Revenue amounts shown above do not reflect Low Income Discounts starting January 2018.
** Revenue targets for each rate year thereafter will continue at these amounts unless and until changed.
*** SC 13 is combined with SC 8 starting January 1, 2024.

Annual Allowed Pure Base Revenue will be revised whenever there is a change in Demand Delivery Charges, Energy Delivery Charges, or the Customer Charge applicable under one or more of the SCs. Furthermore, if, for any reason, an SC no longer has existing customers, the Allowed Pure Base Revenue for that SC will be reallocated to other SCs with existing Customers and to the PASNY Rate Schedule to provide for equitable treatment of revenue deficiencies from the discontinued class. In the event Allowed Pure Base Revenue is reallocated, the Company will notify the Department of Public Service Commission Staff of the revised Allowed Pure Base Revenue amount(s). The Company will be allowed to defer collection of any revenue shortfall or refund of any revenue surplus that results from a delay in the approval of a reallocation of Allowed Pure Base Revenue. SC 1 RDM amounts to be collected over each six-month RDM collection/refund period will be adjusted to recover the delivery-related component of customer credits provided under the SC 1 Rate III price guarantee for plug-in electric vehicles.

Since load served under Special Provision G (“RNY”) and Special Provision H (“EJP”) of SC 9 is exempt from the RDM, SC 9 Allowed Pure Base Revenue will be decreased/increased as appropriate for load transfers to or from RNY or EJP service.

GENERAL RULES

26. Additional Delivery Charges and Adjustments – Continued

26.2 Revenue Decoupling Mechanism Adjustment – Continued

(4) Low Income Program Costs

The Company will adjust each class's RDM amounts to be collected over each six-month RDM collection/refund period to reflect that class's share of the difference between actual Low Income Program costs and the amount of these costs included in rates (i.e., $167.92 million annually).

Any Low Income Program costs required to be collected or refunded will be passed through the RDM Adjustment that is applicable under this Rate Schedule and the RDM Adjustment applicable under the PASNY Rate Schedule. The amount to be collected or refunded through the RDM Adjustment applicable under this Rate Schedule will be equal to the total amount to be collected or refunded less the Low Income Program costs collected or refunded under the PASNY Rate Schedule.

Continuation of the Low Income Program beyond December 31, 2025, will be contingent on the continuation of full cost recovery through the RDM Adjustment or an equivalent mechanism.

(5) Costs Related to the Emergency Summer Cooling Credit

The Company will increase each class's RDM amounts to be collected after January 1, 2021 through the end of the Rate Plan in Case 19-E-0065, to reflect each class's share of amounts to be recovered during such period, as specified in the Commission's June 11, 2020 Order in Case 20-M-0231. Each class's share will reflect the partial recovery of costs related to the Emergency Summer Cooling Credit as specified under SC 1 Special Provision I.

This recovery of the costs related to the Emergency Summer Cooling Credit will be passed through the RDM Adjustment that is applicable under this Rate Schedule and the RDM Adjustment applicable under the PASNY Rate Schedule. The amount to be collected shall be offset by the revenue from the Emergency Summer Cooling Credit component of the CBC Charge described in Rider R of this Rate Schedule. The amount to be collected through the RDM Adjustment applicable under this Rate Schedule will be equal to the total amount to be collected less the costs related to the Emergency Summer Cooling Credit collected under the PASNY Rate Schedule.

(6) Electric Vehicle Managed Charging Program Costs

The Company will adjust each class's RDM amounts to be collected over each six-month RDM collection/refund period to reflect that class's share of the recovery of the delivery-related participation incentives paid under the Electric Vehicle Managed Charging Program as described in General Rule Section 10.12.

Any delivery-related participation incentives required to be collected or refunded will be passed through the RDM Adjustment that is applicable under this Rate Schedule and the RDM Adjustment applicable under the PASNY Rate Schedule. The amount to be collected or refunded through the RDM Adjustment applicable under this Rate Schedule will be equal to the total amount to be collected or refunded less the delivery-related participation incentives to be collected or refunded under the PASNY Rate Schedule.

GENERAL RULES

26. Additional Delivery Charges and Adjustments – Continued

26.2 Revenue Decoupling Mechanism Adjustment – Continued

(7) Recovery for the Credits Provided Under the Price Guarantee for SC 1 Rate IV Customers

The Company will increase each class's RDM amounts to be collected over each six-month RDM collection/refund period to reflect that class's share for the recovery of credits provided under the price guarantee for SC 1 Rate IV Customers as described in Special Provision H of SC 1.

Any credits required to be collected will be passed through the RDM Adjustment that is applicable under this Rate Schedule and the RDM Adjustment applicable under the PASNY Rate Schedule. The amount to be collected through the RDM Adjustment applicable under this Rate Schedule will be equal to the total amount to be collected less the amounts collected under the PASNY Rate Schedule.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.3 Billing and Payment Processing Charge

(a) Definitions

A reference to the "Company's charges" means charges for only delivery or for both Company-provided supply and delivery, as applicable.

"Consolidated Bill" means a bill that combines the Company's charges and an ESCO's supply charges. Consolidated Bills for residential Customers are limited to Utility Consolidated Bills.

"ESCO Consolidated Bill" means a Consolidated Bill issued by an ESCO for its charges and the Company's charges.

"Full Service Bill" means a bill that includes charges for both Company-provided supply and delivery for either electric or gas service.

"Separate Utility/ESCO bills" means that the Company's delivery charges and ESCO's supply charges for electric or gas service are not issued on the same bill; the Company's delivery charges may be issued on a Full Service bill or a Utility Consolidated Bill or an ESCO Consolidated Bill for the other service.

"Utility Consolidated Bill" means a Consolidated Bill issued by the Company for its charges and an ESCO's supply charges.

(b) BPP Charge

The charge for BPP is applicable to all Customers (except SC 11) unless the Customer receives a Consolidated Bill for electric on an electric account or for electric or gas on a combined electric and gas account.

(1) BPP Charge on an Electric Only Account

Bill Type	Charge, per bill
Full Service Bill	$1.28
Utility Consolidated Bill	0
Separate Utility/Non-Utility Bills	$1.28
ESCO Consolidated Bill	0

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.3 Billing and Payment Processing Charge - Continued

(b) BPP Charge - Continued

(2) BPP Charge on a Combined Electric and Gas Account

Electric Service and Bill Type	Gas Service and Bill Type	BPP Charge, for the electric and gas services
Full Service	Full Service	$1.28
Full Service	Utility Consolidated Bill	0
Full Service	Separate Utility/ESCO Bills	$1.28
Full Service	ESCO Consolidated Bill	0
Utility Consolidated Bill	Full Service	0
Utility Consolidated Bill	Utility Consolidated Bill	0
Utility Consolidated Bill	Separate Utility/ESCO Bills	0
Utility Consolidated Bill	ESCO Consolidated Bill	N/A *
Separate Utility/Non-Utility Bills	Full Service	$1.28
Separate Utility/Non-Utility Bills	Utility Consolidated Bill	0
Separate Utility/Non-Utility Bills	Separate Utility/ESCO Bills	$1.28
Separate Utility/Non-Utility Bills	ESCO Consolidated Bill	0 **
ESCO Consolidated Bill	Full Service	0
ESCO Consolidated Bill	Utility Consolidated Bill	N/A *
ESCO Consolidated Bill	Separate Utility/ESCO Bills	0 **
ESCO Consolidated Bill	ESCO Consolidated Bill	0 ***

Where the BPP charge shown above is $1.28, the charge, per bill, applicable to the electric service is equal to $1.28 less the charge applicable to the gas service under the gas rate schedule.

* This scenario is not possible on a combined electric and gas account. The ESCO must request account separation.

** This scenario is only possible if there are two separate ESCOs. One ESCO issues Consolidated Bills for the utility's electric and gas charges and its charges. The second ESCO issues bills only for its own charges.

*** This scenario is only possible if there is one ESCO for both electric and gas. If there are two ESCOs, one ESCO must request account separation.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.4 System Benefits Charge

A System Benefits Charge ("SBC") recovers costs associated with clean energy activities conducted by the New York State Energy Research and Development Authority ("NYSERDA"), energy efficiency programs implemented by the Company and costs of the Integrated Energy Data Resource ("IEDR") program. Customers taking service under this Rate Schedule (excluding SC 11 and load served under Special Provision G of SC 9) are subject to the SBC.

Except for the 10-month Statement of SBC filed to become effective March 1, 2016, the Statement of SBC will be filed on an annual basis, on no less than 15 days' notice, to become effective January 1. The Statement will set forth the following surcharge rates:

A. Clean Energy Fund ("CEF") Surcharge Rate

Beginning March 1, 2016, the CEF Surcharge rate collects: (1) annual authorized collections associated with NYSERDA-run clean energy activities, including the Renewable Portfolio Standard, Energy Efficiency Portfolio Standard ("EEPS"), SBC IV programs, and CEF, plus or minus any over- or under-collections associated with prior years; and (2) any over- or under-collections associated with Company-run EEPS programs authorized through 2015. The amount to be collected shall be offset by the revenue from the CEF Surcharge Rate component of the CBC Charge described in Rider R of this Rate Schedule.

B. Energy Efficiency ("EE") Tracker Surcharge Rate

The EE Tracker Surcharge rate collects: (1) annual authorized collections starting 2016 associated with Company-run energy-efficiency programs, excluding programs funded through base delivery rates; and
(2) starting 2017, any prior period over- or under-collections for these programs, minus interest earned on prior-period surcharges for these programs calculated at the Other Customer Capital Rate. The amount to be collected shall be offset by the revenue from the EE Tracker Surcharge Rate component of the CBC Charge described in Rider R of this Rate Schedule.

C. Integrated Energy Data Resource ("IEDR") Surcharge Rate

Beginning June 1, 2021, the IEDR Surcharge will collect development costs associated with the IEDR Phase 1 program, or any other costs associated with the IEDR Phase 1 program, that the Commission authorizes for collection through the IEDR Surcharge. Costs to be included in the IEDR Surcharge shall be as specified by the Commission in Case 20-M-0082. The IEDR Surcharge will be calculated to recover the necessary collections, plus or minus any under- or over-collections.

Each surcharge rate will be calculated by dividing the necessary collection amount by the forecasted kWhr deliveries for the period in which the Statement is to be in effect.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.5 Clean Energy Standard Delivery Surcharge

The Clean Energy Standard Delivery Surcharge ("CESD") is applicable to all Customers served under this Rate Schedule, except SC 11. The CESD recovers costs associated with: (1) contracts signed by NYSERDA to maintain certain renewable energy facilities ("Tier 2 Maintenance Contracts"); (2) any funds required by NYSERDA to meet financial needs that result from its activities related to Clean Energy Standard and Offshore Wind Renewable Energy Credits ("ORECs") from qualifying offshore wind energy facilities ("Backstop Charges"); (3) the NYSERDA Integrated Energy Data Resource ("IEDR") Phase 2 program; and (4) the NYSERDA Residential and Retail Energy Storage Programs. The amount to be collected under this Rate Schedule is equal to the total amount required to be collected less amounts allocated for collection under the PASNY Tariff.

The Statement of CESD ("Statement") sets forth separate charges for the four components: Tier 2 Maintenance Contracts, Backstop Charges, NYSERDA IEDR Phase 2 Program Charges, and NYSERDA Residential and Retail Energy Storage Programs. The recovery of costs associated with Tier 2 Maintenance Contracts will be determined for each 12-month period beginning April 1. The recovery of costs associated with Backstop Charges and NYSERDA IEDR Phase 2 Program Charges will be set for a period of one-to-twelve months depending on the size of the costs. The recovery of costs associated with the NYSERDA Residential and Retail Energy Storage Programs will be determined for each 12-month period beginning January 1, 2025. The costs for 2024 will be recovered from October through December 2024. The charge for each component will collect the estimated costs for that component over its applicable collection period and the difference, excluding Uncollectible-bill Expense, between the actual costs and amounts recovered for that component for prior periods.

An adjustment will be made to the total charge for each component to reflect Uncollectible-bill Expense. Uncollectible-bill Expense will be determined using the Uncollectible Bill Factor identified in General Rule 26.1.2(b).

The unit amount to be charged for each collection period will be determined by dividing the amount to be collected by the forecasted kWhr deliveries for the collection period. Each charge will be determined on a cents per-kilowatthour basis, taken to the nearest 0.0001 cent.

The initial Statement is filed with the Public Service Commission to become effective April 1, 2017, and is applicable to bills with a "from" date on or after April 1, 2017. Unless otherwise directed by the Commission, subsequent Statements will be filed to become effective not less than 15 days before their effective date. Each Statement will be posted to the Company's website on or before its effective date.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.6 Dynamic Load Management Surcharge

The Dynamic Load Management ("DLM") Surcharge recovers costs incurred on and after May 1, 2018, associated with: (1) the Direct Load Control ("DLC") Program; (2) the Commercial System Relief Program ("CSRP"), net of Lost Reservation Payments made under the CSRP; (3) the Distribution Load Relief Program ("DLRP"), net of Lost Reservation Payments made under the DLRP; and (4) the Term-DLM and Auto-DLM programs under Rider AC. Amounts collected under this Rate Schedule will be equal to the total program costs less the program costs allocated for collection under the PASNY Rate Schedule.

The DLM Surcharge is designed to collect annual forecasted program costs plus prior period reconciliations. Annual forecasted costs will be allocated among the SCs based on allocators used to develop the Company's most recently filed embedded cost-of-service study. DLRP and DLC Program costs will be allocated based on the primary distribution demand (D04) allocator. CSRP, Term-DLM, and Auto-DLM program costs will be allocated based on the transmission demand (D03) allocator.

The DLM Surcharge will be collected on a monthly basis from the following Customers taking service under this Rate Schedule, excluding SC 11 Customers, as follows:

(a) per kWhr for SC 1, SC 2, SC 6, and SC 12 energy-only, excluding Standby Service rates under these SCs;
(b) per kW of monthly maximum demand for Rate I of SCs 5, 8, 9 and 12;
(c) per kW of monthly maximum demand, Monday through Friday, 8 AM to 10 PM, year-round, for Rate II of SC 5 and Rate II and Rate III of SCs 8, 9, and 12;
(d) per kW of Contract Demand for Standby Service rates, excluding SC 13; and
(e) per monthly bill, as a separate charge, to Customers billed under SC 13.

Any difference between actual DLM program costs required to be collected from each SC and the actual amount collected will be reconciled, and the difference will be charged or credited to Customers in that SC, plus interest (calculated at the rate specified by the Public Service Commission for Customer Deposits), over a subsequent 12-month period. CSRP, Term-DLM program, and Auto-DLM program will be reconciled separately from the DLRP and the DLC program.

The unit amounts to be collected will be shown on the Statement of DLM Surcharge filed with the Public Service Commission apart from this Rate Schedule. Each Statement will be in effect for a 12-month period commencing May 1, except a Statement will be effective for a five-month period commencing December 1, 2020. Unless otherwise directed by the Commission, the Company will file each Statement no less than three days before its effective date.

For purposes of billing, the DLM Surcharge will be included with the Monthly Adjustment Clause.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.7 Delivery Revenue Surcharge

As directed by the Public Service Commission in Case 22-E-0064, the Delivery Revenue Surcharge (the "Surcharge") will collect Allowed Pure Base Revenue shortfalls that result from extension of the Case 22-E-0064 suspension period, plus interest at the Pre-tax Weighted Average Cost of Capital, over 17 months commencing August 1, 2023.

The Surcharge will be collected on a monthly basis and will be assessed as follows:

(a) per kW of Contract Demand for Customers billed under Standby Service rates, excluding SC 13;
(b) per monthly bill, as a separate surcharge, for SC 13 Customers; and
(c) per kWhr for all other Customers.

The unit amount to be collected per SC will be shown on the Statement of Delivery Revenue Surcharge filed with the Public Service Commission, apart from this Rate Schedule. Any difference between amounts required to be collected through the Surcharge and the actual amounts collected will be charged or credited to customers over a reasonable period after December 31, 2024. Unless otherwise directed by the Commission, the Company will file Statements no less than three days before their effective date.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.8 Value of Distributed Energy Resources ("VDER") Cost Recovery

The Company will recover the following credits, as applicable, associated with Customers served under the Value Stack Tariff and Wholesale Value Stack as described in Rider R of this Rate Schedule and the Value Stack Tariff and Wholesale Value Stack for PASNY Customer-generators General Provision of the PASNY Rate Schedule: (1) the Value Stack Energy Component credit; (2) the Value Stack Capacity Component credit; (3) the Environmental Component credit; (4) the Market Transition ("MTC") Component Credit; (5) the Demand Reduction Value ("DRV") Component Credit; (6) the Locational System Relief Value ("LSRV") Component Credit; and (7) the Community Credit Component.

The Value Stack Capacity Component credits and Environmental Component credits will each be composed of a Market Value and Out of Market Value. The Value Stack Energy Component credit will be included as a Market Supply Charge cost and the Market Value portion of the Environmental Component credit will be collected through the Clean Energy Standard Supply Surcharge. The remainder of the component credits ("Value Stack Delivery Cost Component Credits") will be collected from all Customers served under this Rate Schedule as well as Customers served under the PASNY Rate Schedule.

For purposes of the recovery of the Value Stack Delivery Cost Component Credits, the following service classification groups have been established:

Group 1: SC 1
Group 2: SC 2
Group 3: SC 6
Group 4: Low Tension Customers served under SCs 5, 8, 9, and 12
Group 5: High Tension Customers served under SCs 5, 8, 9, 12, and 13

(a) Value Stack Capacity Component Cost Recovery

The credits associated with Customer-generators for the Value Stack Capacity Component will be divided into two pieces – the Market Value and Out of Market Value. The Market Value portion of the credits will be determined for every month by multiplying the injections into the Company's system from all Value Stack Customer-generators during the New York Control Area peak hour of the previous calendar year by the average price for capacity for that month. The Out of Market Value portion of the credits is equal to the difference between the actual dollar value of credits and the Market Value portion of the credits.

The Market Value portion of the credits paid will be collected from all service classification groups under this Rate Schedule as well as PASNY, based on their relative share of the Company's ICAP. The Out of Market Value portion of the credits paid will be collected from the applicable service classification group(s) under this Rate Schedule, or PASNY, that received the credit. The Out of Market Value portion of the credits distributed under the Company's S-SFA Program, described in Rider R Section M of this Tariff, will be collected from Group 1.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.8 Value of Distributed Energy Resources ("VDER") Cost Recovery - Continued

The Market Value and Out of Market Value portions of the credits will be collected from the following Customers taking service under this Rate Schedule as follows:

(a) on a per kWhr basis for SC 1, SC 2, SC 6, and SC 12 energy- only, excluding Standby Service rates under these SCs;
(b) on a per kW basis of monthly maximum demand for Rate I of SCs 5, 8, 9, 12, and 13, Rate II of SC 5 and Rate II and Rate III of SCs 8, 9, and 12; and
(c) on a per kW basis of Contract Demand for Standby Service rates.

Credits will be collected on a dollars per month basis from PASNY.

GENERAL RULES

26. Additional Delivery Charges and Adjustments – Continued

26.8 Value of Distributed Energy Resources ("VDER") Cost Recovery – Continued

(b) Environmental Component Cost Recovery

Effective through December 31, 2024, Environmental Component Cost Recovery will be recovered as follows. The credits associated with Customer-generators for the Environmental Component will be divided into two pieces – the Market Value and Out of Market Value. The Market Value portion of the credits, which is to be collected from Customers via the Clean Energy Standard Supply Charge, will be determined for every month by multiplying the net injections from Customer-generators by the market value for that month of the Renewable Energy Standard Tier 1 Renewable Energy Credits transferred to the Company by Value Stack Customers who opt to receive the Environmental Component. The Out of Market Value is equal to the difference between the actual dollar value of credits paid and the Market Value portion of this credit amount.

The Out of Market Environmental Component credit will be collected from the service classification group(s) under this Rate Schedule, or PASNY, that received the credit, on a per kWhr basis under this Rate Schedule, and on a dollar per month basis for PASNY.

Effective January 1, 2025, all Environmental Component credits paid to Customers will be recovered through the Clean Energy Standard Supply Surcharge. Any unreconciled over- or under-collection amounts associated with the Out of Market Environmental Component that remain as of January 1, 2025, will be recovered or charged as part of the Clean Energy Standard Supply Surcharge.

(c) MTC Component Cost Recovery

The credits associated with Customer-generators for the MTC will be collected from the service classification group(s) that receive the credits. Separate rates will be determined for the service classification group(s) under this Rate Schedule, or PASNY, that received the credit, on a per kWhr basis under this Rate Schedule, and on a dollar per month basis for PASNY. The credits associated with the MTC in the Company's S-SFA Program, described in Rider R Section M of this Tariff, will be collected from Group 1.

(d) DRV and LSRV Components Cost Recovery

The credits associated with Customer-generators for the DRV and LSRV will be collected from the following Customers taking service under this Rate Schedule as follows:

(a) On a per kWhr basis for SC 1, SC 2, SC 6, and SC 12 energy-only; excluding Standby Service rates under these SCs;
(b) on a per kW basis of monthly maximum demand for Rate I of SCs 5, 8, 9, 12, and 13, Rate II of SC 5, and Rate II and Rate III of SCs 8, 9, and 12; and
(c) on a per kW basis of Contract Demand for Standby Service rates.

Credits will be collected on a dollars per month basis from PASNY.

GENERAL RULES

26. Additional Delivery Charges and Adjustments – Continued

26.8 Value of Distributed Energy Resources ("VDER") Cost Recovery – Continued

(d) DRV and LSRV Components Cost Recovery - Continued

The collection of all DRV and LSRV credits will be allocated to each service classification group under this Rate Schedule and PASNY based on the percentage contribution to system peak, as used to develop the embedded cost-of-service study in the Company's most recently approved electric rate plan.

(e) Community Credit Component Cost Recovery

The credits associated with Customer-generators for the Community Credit will be collected from the applicable service classification group(s) under this Rate Schedule, or PASNY, that were allocated the credit. The credits associated with the Community Credit in the Company's S-SFA Program, described in Rider R Section M of this Tariff, will be collected from Group 1. Such credits will be collected from the following Customers taking service under this Rate Schedule as follows:

(a) On a per kWhr basis for SC 1, SC 2, SC 6, and SC 12 energy-only, excluding Standby Service rates under these SCs;
(b) on a per kW basis of monthly maximum demand for Rate I of SCs 5, 8, 9, 12, and 13, Rate II of SC 5, and Rate II and Rate III of SCs 8, 9, and 12; and
(c) on a per kW basis of Contract Demand for Standby Service rates.

Such credit will be collected on a dollars per month basis from PASNY.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.8 Value of Distributed Energy Resources ("VDER") Cost Recovery - Continued

The Value of Distributed Energy Resources Cost Recovery Statement (the "Statement") sets forth separate rates for collection of the Value Stack Delivery Cost Component Credits. Beginning December 1, 2018, the recovery of costs for each component will be determined for each 12-month period beginning December 1. The Statement will include the charge for each component to collect the estimated costs for that component over its applicable collection period and the difference between the actual costs and amounts recovered for that component for prior periods. The unit amount to be charged for each collection period will be determined by dividing the amount to be collected by the forecasted billing units for the collection period by service classification group as described for each component above.

The initial Statement is filed with the Commission to become effective November 1, 2017. Unless otherwise directed by the Commission, any change to the unit amounts to be collected will be filed with the Commission no less than three days prior to the effective date. Each Statement will be posted to the Company's website prior to its effective date.

For purposes of billing, the surcharges associated with collection of the Value Stack Delivery Cost Component Credits will be included with the Monthly Adjustment Clause.

26.9 Tax Sur-credit

Pursuant to the Public Service Commission's Order, dated August 9, 2018 in Case 17-M-0815, the Company will implement sur-credits related to the tax savings from the Tax Cuts and Jobs Act of 2017 ("Tax Sur-credit") commencing January 1, 2019. The Company's electric Tax Sur-credit calculation is based on the annual ongoing tax savings effective January 1, 2019.

Any difference between the Tax Sur-credit amounts to be credited and actual amounts credited, excluding gross receipts taxes, will be reflected in a subsequent period sur-credit; provided, however, that any reconciliation amount required to be credited or collected after the last year that the sur-credit is in effect, will be reconciled in the Company's next rate plan.

The Tax Sur-credits were allocated to each electric Service Classification ("SC") based on the class contribution to the Company's electric annual delivery revenue used to set the Company's delivery rates, and will be credited on a monthly basis per kW and/or per kWh. Credits for demand-billed Customers (excluding Customers billed under Standby Service rates) are calculated and assessed based on: the monthly maximum demand for the billing period for non-time of day Customers; or, for time of day Customers, the monthly maximum demand Monday through Friday, 8 AM to 10 PM, year-round. Credits for Customers billed on Standby Service rates are calculated and assessed using contract demand.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.9 Tax Sur-credit - Continued

The unit amount(s) to be credited per SC will be shown on the Statement of Tax Sur-credit (the "Statement") that is filed with the Public Service Commission apart from this Rate Schedule. The Company will implement sur-credits for the 12-month period January 1, 2019 to December 31, 2019. Unless otherwise directed by the Commission, any change to the unit amounts to be collected will be filed with the Commission on a revised Statement no less than five days prior to the Statement's effective date.

26.10 EV Make-Ready Surcharge

The Electric Vehicle Make-Ready ("EVMR") Surcharge recovers costs associated with investments made by the Company and incentives paid to customers to support the infrastructure and equipment necessary to accommodate increased electricity demands associated with the deployment of Electric Vehicles, until such costs are reflected in base rates.

The costs to be recovered, collectively referred to as "EVMR Costs" are as follows:

(a) Company-Owned Make-Ready Work: The depreciation expense related to Company-Owned make-ready costs, including costs related to future proofing utility infrastructure, and return on the average unrecovered investment net of deferred income taxes for each program year, including carrying charges at the pre-tax weighted average cost of capital, that will be recovered over a subsequent one-year period;

(b) Customer-Owned Make-Ready Work: Incentives paid for customer-owned make-ready work, including carrying charges calculated on the net-of-tax balances at the pretax weighted average cost of capital, will be recovered over a period of 15 years;

(c) Make-Ready Implementation Costs: Implementation costs inclusive of the Fleet Assessment Service, including carrying charges calculated on the net-of-tax balances at the pretax weighted average cost of capital, will be recovered over a period of 5 years;

(d) Other Programs: This includes costs such as Environmental Justice Community Clean Vehicles Transformation Prize, Clean Personal Mobility Prize, Clean Medium and Heavy Duty Innovation Prize, Fleet Assessment Service, Transit Authority Make-Ready Program, Medium and Heavy Duty Make-Ready Pilot Program (to the extent such costs are not recovered in base rates), and Micromobility Make-Ready Program. To the extent that costs in these programs are for Company-owned make-ready infrastructure, such costs will be recovered consistent with Company-Owned Make-Ready Work as noted in (a) above. Other costs of these programs, including carrying charges on the net-of-tax balances calculated at the pretax weighted average cost of capital, will be recovered over a period of 15 years;

(e) Electric Vehicle Managed Charging Program: Enrollment and Implementation costs, program administration costs and enrollment incentives, including carrying charges at the pre-tax weighted average cost of capital, that will be recovered over a subsequent one-year period, as specified by the Commission in Case No. 18-E-0138; and

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.10 EV Make-Ready Surcharge – Continued

(f) Commercial Managed Charging Program ("CMCP") and Public DCFC Demand Charge Rebate Program: Costs related to: (1) the CMCP, including CMCP and adder incentives paid to participants; and (2) the Public DCFC Demand Charge Rebate Program, including the rebates paid to participants described in General Rule 10.13. CMCP and Public DCFC Demand Charge Rebate Program costs shall include carrying charges at the pre-tax weighted average cost of capital, that will be recovered over a subsequent one-year period.

EVMR Cost Recovery will be determined:

(1) annually, commencing with Customer bills having a "from" date on or after February 1, 2021 with the first EVMR Surcharge recovering costs for the period July 16, 2020 through December 31, 2020 and each subsequent EVMR Surcharge recovering costs for January 1 through December 31 periods thereafter;

(2) for all but the Electric Vehicle Managed Charging Program costs, for each service classification or rate class in proportion to each class' delivery revenues;

(3) for the Electric Vehicle Managed Charging Program costs, for SCs 1 and 9;

(4) on a kWhr basis for non-demand billed service classification groups, on a kW basis for demand billed service classification groups. Monday through Friday, 8 AM to 10 PM, year-round, for Rate II of SC 5 and Rate II and Rate III of SCs 8, 9, and 12 (for Customers billed on Standby Service rates the surcharge will be collected on a per kW of Contract Demand basis), or on a dollar per month basis;

(5) with the rate per kWh or kW determined by dividing allocable costs by estimated billed kWh deliveries or kW demand over the collection period;

(6) by reconciling the EVMR Surcharge at the end of each program year. Any over- or under-collection as a result of this reconciliation will be reflected in the following EVMR Surcharge.

(7) by the costs, other than costs recovered in base rates.

The EVMR Surcharge will be applicable to all delivery customers served under SCs 1, 2, 5, 6, 8, 9, 11, 12 and 13. Amounts collected under this Rate Schedule will be equal to the total program costs less the program costs allocated for collection under the PASNY Rate Schedule. The EVMR Surcharge is not applicable to Customers served under the Excelsior Jobs Program, SC 9 Special Provision H.

The unit amounts to be collected will be shown on the Statement of EVMR Surcharge filed with the Public Service Commission apart from this Rate Schedule. Unless otherwise directed by the Commission, the Company will file each Statement no less than fifteen days before its effective date.
For purposes of billing, the EVMR Surcharge will be included with the Monthly Adjustment Clause.

GENERAL RULES

26. Additional Delivery Charges and Adjustments - Continued

26.11 Arrears Management Program Recovery Surcharge

Commencing June 1, 2024, the Arrears Management Program ("AMP") Recovery Surcharge will recover program costs associated with credits applied to electric Customer bills under the Phase 2 Electric and Gas Bill Relief Program as described in General Rule 10.9, in exceedance of funds provided by shareholders, plus carrying charges, less costs allocated to the PASNY Rate Schedule, and less costs recovered through the Monthly Adjustment Clause as described in General Rule 26.1, as authorized by the Commission in its order issued January 19, 2023, in Cases 14-M-0565 et al.

The AMP Recovery Surcharge is designed to collect, commencing June 1, 2024, annual costs plus prior period reconciliations under this General Rule 26.11. Annual costs will be allocated among the SCs based on the transmission and distribution delivery revenue established in the Company's most recently approved electric rate plan.

The AMP Recovery Surcharge will be collected on a monthly basis from the following Customers taking service under this Rate Schedule:

(a) per kWhr for SCs 1, 2, 6, and SC 12 energy-only, excluding Standby Service rates under these SCs;
(b) per kW of monthly maximum demand for Rate I of SCs 5, 8, 9 and 12;
(c) per kW of monthly maximum demand, Monday through Friday, 8 AM to 10 PM, year-round, for Rate II of SC 5 and Rate II and Rate III of SCs 8, 9, and 12;
(d) per kW of Contract Demand for Standby Service rates, excluding SC 13; and
(e) per monthly bill, as a separate charge, to Customers billed under SC 13.

Any difference between the actual costs required to be collected from each SC and the actual amount collected will be reconciled, and the difference will be charged or credited to Customers in that SC, plus carrying charges, over a subsequent period(s).

The unit amounts to be collected will be shown on the Statement of Arrears Management Program Recovery Surcharge filed with the Public Service Commission apart from this Rate Schedule. Unless otherwise directed by the Commission, Statements will be filed not less than three days before their effective date.

27. [RESERVED FOR FUTURE USE]